Amendment of section 10.

4. In section 10 of the Income-tax Act,—

(*a*) with effect from the 1st day of April, 2023,—

(*i*) in clause (4D), in the *Explanation*, in clause (*c*), in sub-clause (*i*), in item (III), for the words "non-residents; or", the following shall be substituted, namely:—

"non-residents:

Provided that the condition specified in this item shall not apply where any unit holder or holders, being non-resident during the previous year when such unit or units were issued, becomes resident under clause (1) or clause (1A) of section 6 in any previous year subsequent to that year, if the aggregate value and number of the units held by such resident unit holder or holders do not exceed five per cent. of the total units issued and fulfil such other conditions as may be prescribed; or";

(*ii*) in clause (4E), after the words "non-deliverable forward contracts", the words "or offshore derivative instruments or over-the-counter derivatives," shall be inserted;

(*iii*) in clause (4F),—

(I) after the word "aircraft", the words "or a ship" shall be inserted;

(II) for the *Explanation*, the following *Explanation* shall be substituted, namely:—

'*Explanation*.—For the purposes of this clause,—

(*i*) "aircraft" means an aircraft or a helicopter, or an engine of an aircraft or a helicopter, or any part thereof;

(*ii*) "ship" means a ship or an ocean vessel, engine of a ship or ocean vessel, or any part thereof;';

(*iv*) after clause (4F), the following clause shall be inserted, namely:—

'(4G) any income received by a non-resident from portfolio of securities or financial products or funds, managed or administered by any portfolio manager on behalf of such non-resident, in an account maintained with an Offshore Banking Unit in any International Financial Services Centre, as referred to in sub-section (1A) of section 80LA, to the extent such income accrues or arises outside India and is not deemed to accrue or arise in India.

Explanation.—For the purposes of this clause, "portfolio manager" shall have the same meaning as assigned to it in clause (z) of sub-regulation (1) of regulation (2) of the International Financial Services Centres Authority (Capital Market Intermediaries) Regulations, 2021, made under the International Financial Services Centres Authority Act, 2019 (50 of 2019);';

(*v*) in clause (8), after sub-clause (*b*), the following proviso shall be inserted, namely:—

"**Provided** that nothing contained in this clause shall apply to such remuneration and income of the previous year relevant to the assessment year beginning on or after the 1st day of April, 2023;";

(*vi*) in clause (8A), after sub-clause (*b*) and before the *Explanation*, the following proviso shall be inserted, namely:—

"**Provided** that nothing contained in this clause shall apply to such remuneration, fee and income of the previous year relevant to the assessment year beginning on or after the 1st day of April, 2023.";

(*vii*) in clause (8B), after sub-clause (*b*), the following proviso shall be inserted, namely:—

"**Provided** that nothing contained in this clause shall apply to such remuneration and income of the previous year relevant to the assessment year beginning on or after the 1st day of April, 2023;";

(*viii*) after clause (9), the following proviso shall be inserted, namely:—

"**Provided** that nothing contained in this clause shall apply to such income of the previous year relevant to the assessment year beginning on or after the 1st day of April, 2023;";

(*b*) in clause (23C),—

(*i*) in sub-clauses (*iv*), (*v*), (*vi*) and (*via*), for the words "prescribed authority", the words "Principal Commissioner or Commissioner" shall be substituted;

(*ii*) in the third proviso,—

(I) after *Explanation 1*, the following *Explanation*s shall be inserted and shall be deemed to have been inserted with effect from the 1st day of April, 2021, namely:—

"*Explanation 1*A.—For the purposes of this proviso, where the property held under a trust or institution referred to in clause (*v*) includes any temple, mosque, gurdwara, church or other place notified under clause (*b*) of sub-section (2) of section 80G, any sum received by such trust or institution as a voluntary contribution for the purpose of renovation or repair of such temple, mosque, gurdwara, church or other place, may, at its option, be treated by such trust or institution as forming part of the corpus of that trust or institution, subject to the condition that the trust or institution,—

(*a*) applies such corpus only for the purpose for which the voluntary contribution was made;

(*b*) does not apply such corpus for making contribution or donation to any person;

(*c*) maintains such corpus as separately identifiable; and

(*d*) invests or deposits such corpus in the forms and modes specified under sub-section (5) of section 11.

Explanation 1B.—For the purposes of *Explanation 1*A, where any trust or institution referred to in sub-clause (*v*) has treated any sum received by it as forming part of the corpus, and subsequently any of the conditions specified in clause (*a*) or clause (*b*) or clause (*c*) or clause (*d*) of the said *Explanation* is violated, such sum shall be deemed to be the income of such trust or institution of the previous year during which the violation takes place.";

(II) after *Explanation 2*, the following *Explanation*s shall be inserted with effect from the 1st day of April, 2023, namely:—

"*Explanation 3*.—For the purposes of determining the amount of application under this proviso, where eighty-five per cent. of the income referred to in clause (*a*) of this proviso is not applied wholly and exclusively to the objects for which the fund or institution or trust or any university or other educational institution or any hospital or other medical institution referred to in sub-clause (*iv*) or sub-clause (*v*) or sub-clause (*vi*) or sub-clause (*via*) is established, during the previous year but is accumulated or set apart, either in whole or in part, for application to such objects, such income so accumulated or set apart shall not be included in the total income of the previous year of the person in receipt of the income, if the following conditions are complied with, namely:—

(*a*) such person furnishes a statement in such form and manner, as may be prescribed, to the Assessing Officer stating the purpose for which the income is being accumulated or set apart and the period for which the income is to be accumulated or set apart, which shall in no case exceed five years;

(*b*) the money so accumulated or set apart is invested or deposited in the forms or modes specified in sub-section (5) of section 11; and

(*c*) the statement referred to in clause (*a*) is furnished on or before the due date specified under sub-section (1) of section 139 for furnishing the return of income for the previous year:

Provided that in computing the period of five years referred to in clause (*a*), the period during which the income could not be applied for the purpose for which it is so accumulated or set apart, due to an order or injunction of any court, shall be excluded.

Explanation 4.—Any income referred to in *Explanation 3*, which,—

(*a*) is applied for purposes other than wholly and exclusively to the objects for which the fund or institution or trust or any university or other educational institution or any hospital or other medical institution referred to in sub-clause (*iv*) or sub-clause (*v*) or sub-clause (*vi*) or sub-clause (*via*) is established or ceases to be accumulated or set apart for application thereto; or

(*b*) ceases to remain invested or deposited in any of the forms or modes specified in sub-section (5) of section 11; or

(*c*) is not utilised for the purpose for which it is so accumulated or set apart during the period referred to in clause (*a*) of *Explanation 3*; or

(*d*) is credited or paid to any trust or institution registered under section 12AA or section 12AB or to any fund or institution or trust or any university or other educational institution or any hospital or other medical institution referred to in sub-clause (*iv*) or sub-clause (*v*) or sub-clause (*vi*) or sub-clause (*via*),

shall be deemed to be the income of such person of the previous year—

(*i*) in which it is so applied or ceases to be so accumulated or set apart under clause (*a*); or

(*ii*) in which it ceases to remain so invested or deposited under clause (*b*); or

(*iii*) being the last previous year of the period, for which the income is accumulated or set apart under clause (*a*) of *Explanation 3*, but not utilised for the purpose for which it is so accumulated or set apart under clause (*c*); or

(*iv*) in which it is credited or paid to any fund or institution or trust or any university or other educational institution or any hospital or other medical institution under clause (*d*).

Explanation 5.—Notwithstanding anything contained in *Explanation* 4, where due to circumstances beyond the control of the person in receipt of the income, any income invested or deposited in accordance with the provisions of clause (*b*) of *Explanation 3* cannot be applied for the purpose for which it was accumulated or set apart, the Assessing Officer may, on an application made to him in this behalf, allow such person to apply such income for such other purpose in India as is specified in the application by that person and as is in conformity with the objects for which the fund or institution or trust or any university or other educational institution or any hospital or other medical institution referred to in sub-clause (*iv*) or sub-clause (*v*) or sub-clause (*vi*) or sub-clause (*via*) is established; and thereupon the provisions of *Explanation* 4 shall apply as if the purpose specified by that person in the application under this *Explanation* were a purpose specified in the notice given to the Assessing Officer under clause (*a*) of *Explanation 3*:

Provided that the Assessing Officer shall not allow application of such income by way of payment or credit made for the purposes referred to in clause (*d*) of *Explanation* 4:";

(*iii*) for the tenth proviso, the following proviso shall be substituted with effect from the 1st day of April, 2023, namely:—

"**Provided also** that where the total income of the fund or institution or trust or any university or other educational institution or any hospital or other medical institution referred to in sub-clause (*iv*) or sub-clause (*v*) or sub-clause (*vi*) or sub-clause (*via*), without giving effect to the provisions of the said sub-clauses, exceeds the maximum amount which is not chargeable to tax in any previous year, such fund or institution or trust or any university or other educational institution or any hospital or other medical institution shall,—

(*a*) keep and maintain books of account and other documents in such form and manner and at such place, as may be prescribed; and

(*b*) get its accounts audited in respect of that year by an accountant as defined in the *Explanation* below sub-section (2) of section 288 before the specified date referred to in section 44AB and furnish by that date, the report of such audit in the prescribed form duly signed and verified by such accountant and setting forth such particulars as may be prescribed:";

(*iv*) for the fifteenth proviso, the following proviso shall be substituted, namely:—

'**Provided also** that where the fund or institution referred to in sub-clause (*iv*) or trust or institution referred to in sub-clause (*v*) or any university or other educational institution referred to in sub-clause (*vi*) or any hospital or other medical institution referred to in sub-clause (*via*) is approved or provisionally approved under the said clause and subsequently—

(*a*) the Principal Commissioner or Commissioner has noticed occurrence of one or more specified violations during any previous year; or

(*b*) the Principal Commissioner or Commissioner has received a reference from the Assessing Officer under the second proviso to sub-section (3) of section 143 for any previous year; or

(*c*) such case has been selected in accordance with the risk management strategy, formulated by the Board from time to time, for any previous year,

the Principal Commissioner or Commissioner, shall,—

(*i*) call for such documents or information from the fund or institution or trust or any university or other educational institution or any hospital or other medical institution, or make such inquiry as he thinks necessary in order to satisfy himself about the occurrence of any specified violation;

(*ii*) pass an order in writing cancelling the approval of such fund or institution or trust or any university or other educational institution or any hospital or other medical institution, on or before the specified date, after affording a reasonable opportunity of being heard, for such previous year and all subsequent previous years, if he is satisfied that one or more specified violation has taken place;

(*iii*) pass an order in writing refusing to cancel the approval of such fund or institution or trust or any university or other educational institution or any hospital or other medical institution, on or before the specified date, if he is not satisfied about the occurrence of one or more specified violations;

(*iv*) forward a copy of the order under clause (*ii*) or clause (*iii*), as the case may be, to the Assessing Officer and such fund or institution or trust or any university or other educational institution or any hospital or other medical institution.

Explanation 1.—For the purposes of this proviso, "specified date" shall mean the day on which the period of six months, calculated from the end of the quarter in which the first notice is issued by the Principal Commissioner or Commissioner, on or after the 1st day of April, 2022, calling for any document or information, or for making any inquiry, under clause (*i*) expires.

Explanation 2.—For the purposes of this proviso, the following shall mean "specified violation",—

(*a*) where any income of the fund or institution or trust or any university or other educational institution or any hospital or other medical institution has been applied other than for the objects for which it is established; or

(*b*) the fund or institution or trust or any university or other educational institution or any hospital or other medical institution has income from profits and gains of business, which is not incidental to the attainment of its objectives or separate books of account are not maintained by it in respect of the business which is incidental to the attainment of its objectives; or

(*c*) any activity of the fund or institution or trust or any university or other educational institution or any hospital or other medical institution,—

(A) is not genuine; or

(B) is not being carried out in accordance with all or any of the conditions subject to which it was notified or approved; or

(*d*) the fund or institution or trust or any university or other educational institution or any hospital or other medical institution has not complied with the requirement of any other law for the time being in force, and the order, direction or decree, by whatever name called, holding that such non-compliance has occurred, has either not been disputed or has attained finality.

Explanation 3.—For the purposes of clause (*b*) of this proviso, where the Assessing Officer has intimated the Central Government or the prescribed authority under the first proviso of sub-section (3) of section 143 about the contravention of the provisions of sub-clause (*iv*) or sub-clause (*v*) or sub-clause (*vi*) or sub-clause (*via*) of this clause by any fund or institution or trust or university or other educational institution or any hospital or other medical institution in respect of an assessment year, and the approval granted to such fund or institution or trust or university or other educational institution or any hospital or other medical institution has not been withdrawn, or the notification issued in its case has not been rescinded, on or before the 31st day of March, 2022, such intimation shall be deemed to be a reference received by the Principal Commissioner or Commissioner as on the 1st day of April, 2022, and the provisions of clause (*b*) of the second proviso to sub-section (3) of section 143 shall apply accordingly for such assessment year:';

(*v*) for the nineteenth proviso, the following proviso shall be substituted, namely:—

"**Provided also** that where the fund or institution referred to in sub-clause (*iv*) or the trust or institution referred to in sub-clause (*v*) or any university or other educational institution referred to in sub-clause (*vi*) or any hospital or other medical institution referred to in sub-clause (*via*) has been approved by the Principal Commissioner or Commissioner, and the approval is in force for any previous year, then, nothing contained in any other provision of this section, other than clause (1) thereof, shall operate to exclude any income received on behalf of such fund or institution or trust or university or other educational institution or hospital or other medical institution, as the case may be, from the total income of the person in receipt thereof for that previous year.

Explanation.—Where, on or after the 1st day of April, 2022 any fund or institution referred to in sub-clause (*iv*) or any trust or institution referred to in sub-clause (*v*) or any university or other educational institution referred to in sub-clause (*vi*) or any hospital or other medical institution referred to in sub-clause (*via*) is notified under clause (46) of section 10, the approval or provisional approval granted to such fund or institution or trust or university or other educational institution or hospital or other medical institution shall become inoperative from the date of notification of such fund or institution or trust or university or other educational institution or hospital or other medical institution, as the case may be, under clause (46) of the said section:";

(*vi*) after the nineteenth proviso and before *Explanation 1*, the following provisos shall be inserted with effect from the 1st day of April, 2023, namely:—

'**Provided also** that the fund or institution or trust or any university or other educational institution or any hospital or other medical institution referred to in sub-clause (*iv*) or sub-clause (*v*) or sub-clause (*vi*) or sub-clause (*via*) shall furnish the return of income for the previous year in accordance with the provisions of sub-section (4C) of section 139, within the time allowed under that section:

Provided also that where the income or part of income or property of any fund or institution or trust or any university or other educational institution or any hospital or other medical institution referred to in sub-clause (*iv*) or sub-clause (*v*) or sub-clause (*vi*) or sub-clause (*via*), has been applied directly or indirectly for the benefit of any person referred to in sub-section (3) of section 13, such income or part of income or property shall, after taking into account the provisions of sub-sections (2), (4) and (6) of the said section, be deemed to be the income of such fund or institution or trust or university or other educational institution or hospital or other medical institution of the previous year in which it is so applied:

Provided also that where any fund or institution or trust or any university or other educational institution or any hospital or other medical institution referred to in sub-clause (*iv*) or sub-clause (*v*) or sub-clause (*vi*) or sub-clause (*via*) violates the conditions of the tenth proviso or twentieth proviso, or where the provisions of the eighteenth proviso are applicable, its income chargeable to tax shall be computed after allowing deduction for the expenditure (other than capital expenditure) incurred in India, for the objects of the fund or institution or trust or university or other educational institution or hospital or other medical institution, subject to fulfilment of the following conditions, namely:—

(*a*) such expenditure is not from the corpus standing to the credit of the fund or institution or trust or university or other educational institution or hospital or other medical institution as on the end of the financial year immediately preceding the previous year relevant to the assessment year for which the income is being computed;

(*b*) such expenditure is not from any loan or borrowing;

(*c*) claim of depreciation is not in respect of an asset, acquisition of which has been claimed as application of income in the same or any other previous year; and

(*d*) such expenditure is not in the form of any contribution or donation to any person.

Explanation.—For the purposes of determining the amount of expenditure under this proviso, the provisions of sub-clause (*ia*) of clause (*a*) of section 40 and sub-sections (3) and (3A) of section 40A shall, *mutatis mutandis*, apply as they apply in computing the income chargeable under the head "Profits and gains of business or profession":

Provided also that for the purposes of computing income chargeable to tax under the twenty-second proviso, no deduction in respect of any expenditure or allowance or set off of any loss shall be allowed to the assessee under any other provision of this Act:'.

(*vii*) after *Explanation 2*, the following shall be inserted, namely:—

"*Explanation 3*.—For the purposes of this clause, any sum payable by any fund or institution or trust or any university or other educational institution or any hospital or other medical institution referred to in sub-clause (*iv*) or sub-clause (*v*) or sub-clause (*vi*) or sub-clause (*via*) shall be considered as application of income during the previous year in which such sum is actually paid by it (irrespective of the previous year in which the liability to pay such sum was incurred by the fund or institution or trust or any university or other educational institution or any hospital or other medical institution according to the method of accounting regularly employed by it):

Provided that where during any previous year any sum has been claimed to have been applied by the fund or institution or trust or any university or other educational institution or any hospital or other medical institution, such sum shall not be allowed as application in any subsequent previous year;".